- $380,000—under contract the day it was listed
- $385,000—under contract in two days
- $390,000—under contract in two days
- $395,000—under contract in a week
- $400,000—under contract in a month
- $405,000—still for sale
- $410,000—still for sale
- $415,000—still for sale
- $420,000—still for sale

This much more comprehensive list tells you that properties of this type are worth between $375,000 and $400,000. The further below $400,000 that price falls, the lower the buyer's chance of entering the winning bid—because the lower the price, the less time they will have to react. All four of the still-active listings are overpriced or at least more expensive than the comparable properties that have recently sold.

While it's not likely that most first-time home buyers are at risk of mistakenly buying the $420,000 property listed here, the real mistake will happen more subtly. The buyer looks at the market and sees the following properties for sale:

- $405,000
- $410,000
- $415,000
- $420,000

It's been a week or two of home shopping, and the buyer is getting frustrated. Suddenly, a property comes on the market priced at $402,000. Score! It's clearly the best one on the market, so the buyer quickly makes an offer and goes under contract. Thank goodness they were watching the market like a hawk and were poised to pounce at any moment.

That's the critical mistake. According to the previously sold homes, this property was worth between $375,000 and $400,000—so the buyer overpaid by at least $2,000. It seemed like a good deal at the time, but that was only in comparison to the active listings.

Don't let this happen to you. You exponentially increase your risk of being fooled by active listings if you're buying on an artificial timeline, as